

6-3 Inventory Costing Methods under a Perpetual Inventory System

As illustrated in the prior section, when identical units of an item are purchased at different unit costs, an inventory cost flow method must be used. This is true regardless of whether the perpetual or periodic inventory system is used.

Objective 3 - Determine the cost of inventory under the perpetual inventory system, using the FIFO, LIFO, and weighted average cost methods.

In this section, the FIFO, LIFO, and weighted average cost methods are illustrated under a perpetual inventory system. For purposes of illustration, the following data for **Item 127B** are used:

	Item 127B	Units	Cost
Jan. 1	Inventory	1,000	\$20.00
4	Sale at \$30 per unit	700	
10	Purchase	500	22.40
22	Sale at \$30 per unit	360	
28	Sale at \$30 per unit	240	
30	Purchase	600	23.30